

Operational Velocity & Financial Architecture

Executing the pivot to an AI-enabled operating model while maintaining strict capital discipline.

CONFIDENTIAL & PROPRIETARY
Prepared for Executive Committee

DATE
Q1 2026

PRESENTER
Office of the CIO

Q1 2026 EXECUTIVE SUMMARY

Operational Shift to "Velocity" Metrics Has Eliminated Daily Friction for Fee-Earners, Unlocking \$4.2M in Annualized Billable Capacity.

STRATEGIC INITIATIVE	OPERATIONAL TRANSFORMATION (CURRENT VS. FUTURE STATE)				EBITDA IMPACT
 Connectivity Overhaul Global WiFi 6E Deployment & Mesh Network Integration	KPI	Baseline	Target	Delta	\$2.4M RECOVERED BILLABLE HOURS <i>Repurposed non-productive time</i>
	Network Latency	120ms	<20ms	-83%	
 AI Knowledge Core Proprietary LLM Retrieval & Automated Synthesis	KPI	Baseline	Target	Delta	\$1.8M NET NEW REVENUE <i>Attributable to bid velocity increase</i>
	Research Cycle	4.0 hrs	0.5 hrs	-87%	
 Zero Trust (SASE) Identity-First Security & Perimeterless Architecture	KPI	Baseline	Target	Delta	New TAM ACCESS <i>Unlocked via Defense certification</i>
	Gov. Audit	Fail	Pass	Cleared	
	Access Method	VPN	IAM/SASE	Seamless	

Assumptions: (1) Financial impact based on 15 mins/day recovered capacity per consultant (n=200 fee-earners) at \$400/hr blended rate x 48 weeks. (2) \$1.8M AI value attributed to Net New Revenue via increased bid velocity. (3) Operational baselines derived from Q4 2025 logs: Latency (120ms -> <20ms), Tickets (450 -> <45/wk), Research (4.0 -> 0.5 hrs). (4) Compliance shift assumes successful Defense audit clearance.

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FINANCIAL ARCHITECTURE: 2024-2026

Self-funding "Clear the Deck" strategy limits net budget expansion to \$15M, despite a 153% CAGR investment in high-growth AI capabilities.

EXECUTIVE SUMMARY

The firm is successfully executing a "pivot-to-growth" financial strategy. By aggressively rationalizing legacy infrastructure, we are funding next-gen AI capabilities with minimal impact on the baseline OpEx run rate (+8.5% total increase over 3 years).

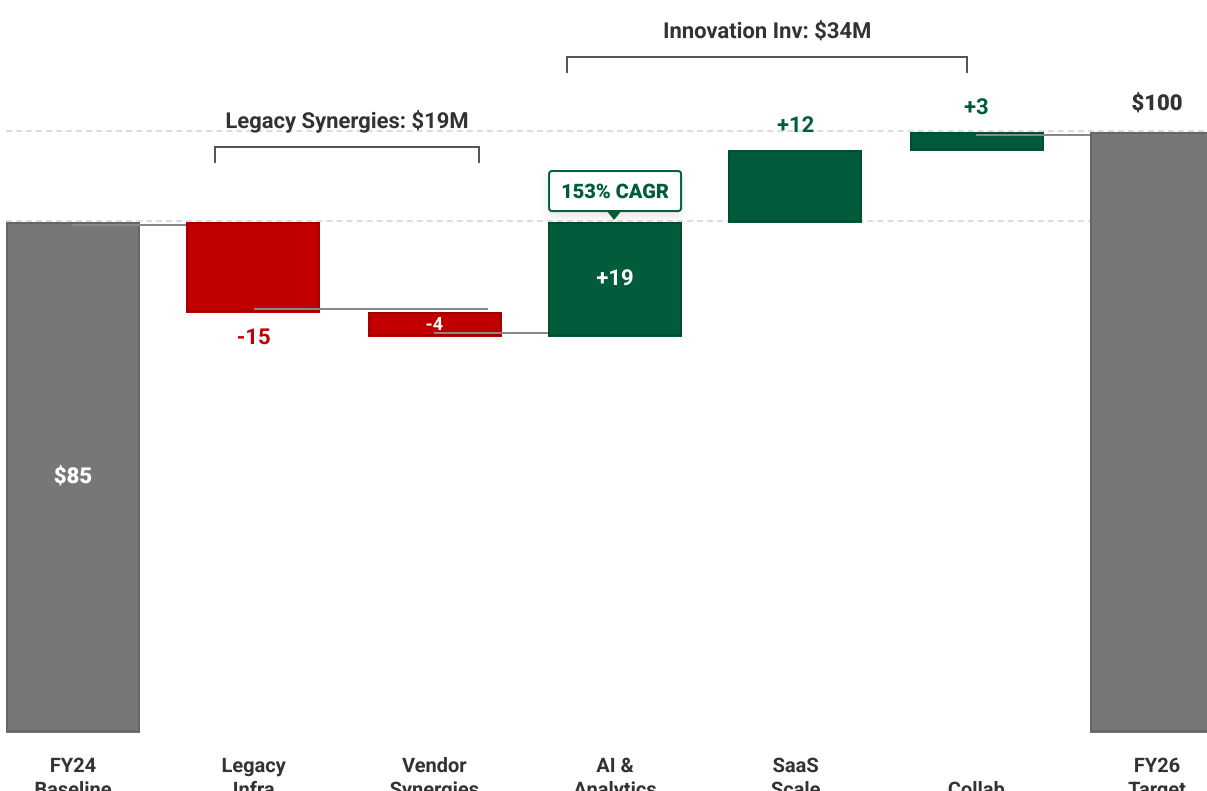
TABLE 1: IT BUDGET REALLOCATION (\$M)

Cost Center	FY24	FY25	FY26	Net Δ	CAGR
AI & Analytics	3.5	12.0	22.5	+\$19.0	153%
Breakdown: GenAI Tools	0.5	4.5	8.5	+\$8.0	311%
Data Infrastructure	2.0	5.0	8.0	+\$6.0	100%
AI Talent	1.0	2.5	6.0	+\$5.0	145%
Collaboration	12.5	14.0	15.5	+\$3.0	11%
SaaS Platforms	22.0	28.0	34.0	+\$12.0	24%
Legacy Infrastructure	38.0	30.5	23.0	(\$15.0)	-22%
Vendor Consolidation	9.0	7.0	5.0	(\$4.0)	-26%
TOTAL SPEND	85.0	92.5	100.0	+\$15.0	8.5%

Assumptions: (1) Total IT Budget expansion limited to \$100M (FY26) from \$85M (FY24). (2) "Clear the Deck" strategy reallocates \$19M from Legacy Infra to Innovation. (3) AI spend modeled at 153% CAGR. (4) Legacy ERP retirement yields confirmed \$2.5M run-rate savings.

BUDGET WALK: "CLEARING THE DECK" FOR INNOVATION

Gross Investment: **+\$34M** | Legacy Synergies: **-\$19M** | Net Funding Ask: **+\$15M**



Assumptions: (1) Total IT Budget expansion limited to \$100M (FY26) from \$85M (FY24). (2) "Clear the Deck" strategy reallocates \$19M from Legacy Infra to Innovation. (3) AI spend modeled at 153% CAGR. (4) Legacy ERP retirement yields confirmed \$2.5M run-rate savings.

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TARGET OPERATING MODEL

Restructured leadership creates clear P&L accountability, ensuring 22.5% of budget is directly allocated to revenue-generating activities.

STRATEGIC STEERCO (MONTHLY)

Mandate: Capital allocation (> \$250k), Risk acceptance, Strategy alignment.

Members: CEO, CFO, CIO, CDO, CDO, CDO

ARCHITECTURE REVIEW BOARD (WEEKLY)

Mandate: Tech Stack compliance, Security reviews, Vendor selection.

Members: Chief Architect, CISO, Pillar VPs

STRATEGIC CORE CIO Value Architect OFFICE OF THE CIO - Vendor Mgmt: Strategic Negotiations - IT Finance: TCO & Chargeback Models - M&A: Tech Due Diligence PRIMARY KPI Innovation Ratio > 25% (Spend on New Capability / Total Spend)	VP, Data & AI \$22.5M Product Lines - GenAI Center of Excellence - Predictive Analytics - Data Monetization Tech Stack: Azure OpenAI, Databricks, Pinecone (Vector DB), Python Talent: 12 Strategic / 4 Tactical KPI: Model ROI > 3x	VP, Bus. Platforms \$18.5M Product Lines - Core ERP (Finance) - Quote-to-Cash (CRM) - HCM (Workday) Tech Stack: SAP S/4 HANA, Salesforce, MuleSoft, Workday Talent: 28 Strategic / 10 Tactical KPI: Uptime 99.99%
	VP, User Enablement \$2.1M Product Lines - Modern Workplace - Digital Academy - Citizen Developer Gov. Tech Stack: M365 Copilot, ServiceNow, Power Platform, WalkMe Talent: 8 Strategic / 2 Tactical KPI: eNPS > 40	CISO / VP Infra \$41.0M Product Lines - Platform Eng. (IDP) - Cloud FinOps - Zero Trust Security Tech Stack: AWS, Terraform, Kubernetes, Zscaler, CrowdStrike Talent: 35 Strategic / 15 Tactical KPI: Cloud Unit Cost

Assumptions: (1) Leadership model defined as 4-pillar structure: Data & AI, Business Platforms, User Enablement, Infra/Security. (2) Budget attribution: Infra/Security (\$41M), Data/AI (\$22.5M), Platforms (\$18.5M), Enablement (\$2.1M). (3) Headcount baseline: 35 FTEs (Infra), 28 (Platforms), 12 (Data), 8 (Enablement).

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Q1 EXECUTION RISK IS CONCENTRATED ON LEGACY ERP RETIREMENT; DELAY IN DECOMMISSIONING THREATENS GENAI FUNDING SOURCE.

Efficiency funds innovation: **Decommissioning the Legacy ERP (\$2.5M run-rate savings)** is the critical path to capitalizing the GenAI Knowledge Agent, ensuring a net-neutral budget impact.

Strategic Initiative	Status	J	F	M	A	M	J	J	A	S	O	N	D	Risk Profile
Revenue Enablement (Hard Value: Top-Line Growth)														
1. Global GenAI Knowledge Agent	On Track	Phase 1 Dev [RK] ◆												High
4. Client Service Chatbot 2.0	On Track	Global Launch [AL] ◆												Low
6. Sales CRM AI Integration	On Track	API Integration [BK]												Med
Risk Reduction (Soft Value: Compliance & Resilience)														
2. SASE / Zero Trust Architecture	On Track	Global Rollout [CN]												Low
3. Data Warehouse Modernization	At Risk	Data Remediation [DP]												High
Capital Efficiency (Hard Value: OpEx Savings)														
7. Cloud FinOps Controls	On Track	Policy Implementation [ER]												Low
5. Legacy ERP Retirement	Critical	Decom Complete [VM] ◆												High
8. Supply Chain Intelligence	On Track	Vendor Analysis [PT]												Med
Talent & Brand (Soft Value: Experience & ESG)														
9. Employee Experience Platform	On Track	Portal Unification [GU]												Low
10. Green IT Dashboard	On Track	ESG Compliance [HV] ◆												Low

Assumptions: (1) Critical Path logic: GenAI pilot funding is strictly contingent on \$2.5M ERP savings. (2) Timelines assume Phase 1 Dev completion by June. (3) Mitigation trigger: >2 week slip in ERP decommission initiates immediate hiring freeze.

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PATH FORWARD

Immediate Board Actions Required to Secure Q2 Momentum.

- Authorize 'Pivot-to-Growth' Investment Tranche (\$19M)**
Formal sign-off on the reallocation from Cost Center 102 (Infra) to 305 (AI & Analytics). This tranche specifically funds the procurement of H100 GPU instances and the onboarding of the Data Science "Tiger Team." Requires 2/3 majority vote.
Owner: CFO | Deadline: Feb 15 | Key Deliverable: Updated Capital Allocation Ledger
- Execute 'Kill Switch' for Legacy SAP ECC 6.0**
Authorize final shutdown sequence. Includes data archival verification (to Snowball Edge), regulatory compliance check (GDPR/CCPA retention), and issuance of contract termination notice to SAP SE.
Owner: CIO | Deadline: Mar 31 | Key Deliverable: Decommissioning Certificate
- Formalize Digital Governance Charter**
Ratify the new IT SteerCo mandate (Article 4.2), granting the CIO veto rights on any new technical debt creation and establishing a monthly "Architecture Review" cadence to prevent shadow IT proliferation.
Owner: Board Chair | Deadline: Feb 28 | Key Deliverable: Signed Governance Charter

NEXT STRATEGIC MILESTONE

April 15

Q1 Quarterly Business Review

Critical Success Factors for Review:

- GenAI Pilot: >80% user adoption in pilot group and < 5% hallucination rate in RAG responses.
- SASE Audit: Zero critical findings in pre-assessment DoD audit for CMMC 2.0.
- Finance: Validated \$600k savings (Q1 realized) via AP automation.

Q2 Forward Look:

- Scale GenAI to 500 users.
- Initiate "Data-as-a-Service" GTM.
- Finalize vendor consolidation.

Note: Failure to approve item 2 by Feb 28 will trigger the risk mitigation plan outlined in Slide 4.

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